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C. (62) 114

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9th July, 1962

CABINET

RESALE PRICE MAINTENANCE

Memorandum by the Lord President of the Council
and Minister for Science

This note comments on the memorandum by the President of the Board of Trade on resale price maintenance (C. (62) 112).

2. The abolition of resale price maintenance raises important political and economic issues. This paper is concerned only with the more technical legal issues involved in the question whether to make a contract containing a resale price maintenance clause illegal or simply unenforceable. I should not like to be thought to have prejudged the other issues, upon which I have great doubts.
3. The President's proposal involves adding a new crime to the calendar. I find the prospect of putting a manufacturer and a small shopkeeper in a criminal dock for entering into a resale price maintenance agreement unattractive to the point of being abhorrent and ridiculous. To misquote Occam: crimina non sunt multiplicanda praeter necessitatem. We undermine the whole basis of criminal law if we make it depart too far from morality and commonsense.
4. Far more serious however would be the effect on contract law. A contract of sale containing a resale price maintenance clause would be illegal and not simply unenforceable. The effect would be to invalidate it in toto. I do not think the courts would sever the resale price maintenance clause from the rest of the contract.
5. The result of this would be that a dishonest retailer could take goods under such a contract without paying for them. Having practised at the Bar under the intolerable situation which obtained under the Socialist building regulations, I for one am simply not prepared to accept the demoralising effect on commercial morality which would follow.
6. It is true that this might be avoided to some extent by inserting in any bill a clause declaring a resale price maintenance

clause severable, and thus avoiding the ordinary results of the law of contract. But I doubt if this would be satisfactory. Supposing it were not really severable? And why mutilate the law of contract?

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